

Consideration

When, at the desire of the promisor, the promisee or any other person has done, abstained from doing, does, abstains from doing, or promises to do or abstain from doing something, such act, abstinence, or promise is called **consideration** for the promise

consideration is **something given in return for a promise**. It is the price paid for the promise of another. Without consideration, an agreement is generally not enforceable as a contract.

Essential Elements of Valid Consideration

- **Must move at the desire of the promisor**
The act should be done because the promisor wanted it.
Example: A asks B to paint his house and promises ₹10,000 → Valid consideration.
- **May move from promisee or any other person**
consideration can be given by the promisee or even a third person.
Example: A promises to sell land to B, but payment is made by C → Contract may still be valid.
- **May be Past, Present, or Future**
 1. Past consideration – Service already done before promise.
 2. Present (Executed) – Immediate exchange.
 3. Future (Executory) – Promise for future performance.
- **Need not be Adequate**
The law does not require equal value.
Example: Selling a watch worth ₹5,000 for ₹500 can still be valid if consent is free.
- **Must be real and lawful**
Illegal, impossible, or fraudulent consideration is invalid.

Exceptions where an agreement is valid even without consideration.

1. Natural Love and Affection

An agreement made:

- out of **natural love and affection**
- between **close relatives**
- **in writing**
- and **registered**

is valid even without consideration.

Example:

A father promises in a registered written document to give ₹2 lakh to his daughter out of love and affection. The agreement is valid even though the daughter gives nothing in return.

2. Compensation for Past Voluntary Services

A promise to compensate a person who has already voluntarily done something for the promisor is valid.

Example:

A finds B's lost bag and returns it. Later B promises to pay A ₹5,000. This promise is enforceable even though A acted before the promise.

3. Promise to Pay a Time-Barred Debt

If:

- the debt cannot be recovered because the limitation period expired,
- and the debtor gives a **written and signed promise** to pay,

the agreement is valid without fresh consideration.

Example:

A owes B ₹20,000, but the legal time limit for recovery has expired. A later signs a written promise to repay. B can enforce it.